

Contestant Number: _____

Time: _____

Rank: _____



FUNDAMENTAL ACCOUNTING (100) **STATE 2021**

CONCEPT KNOWLEDGE:

True/False (20 @ 2 point each) _____ (40 points)

Multiple Choice (20 @ 2 points each) _____ (40 points)

APPLICATION KNOWLEDGE:

Short Answer _____ (32 points)

Problem 1 - Special Journals _____ (75 points)

Problem 2 - Payroll Transactions _____ (37 points)

Problem 3 - Closing Entries _____ (38 points)

TOTAL POINTS _____ ***(262 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morris Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

TRUE/FALSE

Directions: For the following questions, mark “A” for True and “B” for False.

1. Payments for advertising, equipment repairs, utilities, and rent are liabilities.
2. Business ethics are the principles of right and wrong that guide an individual in making personal decisions.
3. Common accounting practice is to record withdrawals as debits directly in the owner’s capital account.
4. The Objective Evidence concept requires that there be proof a transaction occurred.
5. Every business uses the same journal to record transactions.
6. The only use for the Post Ref. column of a journal and general ledger is to indicate which entries in the journal still need to be posted if posting is interrupted.
7. The source document for a debit card purchase is a purchase invoice.
8. If the Trial Balance columns are *not* equal and the difference is \$50.00, the error could be a \$25.00 amount written in the wrong column.
9. The area of accounting that focuses on reporting information to internal users is called managerial accounting.
10. Return on sales (ROS) is the ratio of net income to total expenses.
11. Permanent accounts are used to accumulate information until it is transferred to the owner’s capital account.
12. A transaction recorded in a journal is *not* considered a permanent record.
13. The FASB is the organization responsible for determining GAAP.
14. A transaction to record merchandise purchased with a trade discount would include a debit to Merchandise Discount.
15. The total of each general amount column of a cash receipts journal is posted to the corresponding general ledger account.
16. The Board of Directors of a corporation can decide if and when to declare a dividend.
17. When an employee’s earnings exceed the tax base, no more social security is deducted.
18. Form W-2 reports an employee’s annual earnings and the withholdings for federal income, social security, and Medicare taxes.

19. The book value of accounts receivable must be a reasonable and unbiased estimate of the money the business expects to collect in the future.
20. Annual straight-line depreciation expense of a plant asset is calculated as the original cost of the plant asset divided by the years of estimated useful life.

MULTIPLE CHOICE

Directions: Select the letter that correctly answers the question.

21. If an account starts with the number 4, it represents a(n) _____.
 - A. revenue account
 - B. expense account
 - C. owner's equity account
 - D. liability account
22. At the end of a fiscal period, the first closing entry will be to close _____.
 - A. expense accounts into the Income Summary account
 - B. the withdrawal account into the Owner's Equity account
 - C. revenue accounts into the Owner's Equity account
 - D. revenue accounts into the Income Summary account
23. The financial statement which shows financial progress is the _____.
 - A. Balance Sheet
 - B. Statement of Owner's Equity
 - C. Income Statement
 - D. Post-Closing Trial Balance
24. Recording revenue when services are performed on account rather than when cash is received is an application of what accounting concept?
 - A. Realization of Revenue
 - B. Matching Expenses with Revenue
 - C. Historical Cost
 - D. Consistent Reporting
25. When cash is short, the entry to replenish petty cash includes a _____.
 - A. debit to Cash Short and Over
 - B. credit to Cash Short and Over
 - C. debit to Petty Cash
 - D. credit to Supplies
26. Which of the following is a permanent account?
 - A. Salaries Expense
 - B. Salaries Payable
 - C. Sales Discount
 - D. Drawing

27. Which of the following represents the *correct* order of the Accounting Cycle?
 - A. Journalizing, Posting, Financial Statements, Worksheet
 - B. Posting, Journalizing, Financial Statements, Worksheet
 - C. Posting, Journalizing, Worksheet, Financial Statements
 - D. Journalizing, Posting, Worksheet, Financial Statements
28. Which financial statement represents the accounting equation?
 - A. Worksheet
 - B. Income Statement
 - C. Statement of Owner's Equity
 - D. Balance Sheet
29. The journal entry to adjust the Prepaid Insurance account is _____.
 - A. debit Prepaid Insurance, credit Insurance Expense
 - B. debit Insurance Expense, credit Prepaid Insurance
 - C. debit Income Summary, credit Prepaid Insurance
 - D. debit Insurance Expense, credit Income Summary
30. The journal entry to close the expense accounts is _____.
 - A. debit Income Summary, credit Capital
 - B. debit each expense account, credit Income Summary
 - C. debit Income Summary for the total expense, credit each expense account
 - D. none of the above
31. Which of the following accounts would *not* appear on the Post-Closing Trial Balance?
 - A. Accounts Receivable
 - B. Advertising Expense
 - C. Accounts Payable
 - D. Capital
32. The entry to transfer a net loss to the Capital account would include _____.
 - A. a debit to Capital and a credit to Cash
 - B. a debit to Drawing and a credit to Capital
 - C. a debit to Income Summary and a credit to Capital
 - D. a debit to Capital and a credit to Income Summary
33. The total of the entries on the left side of a Cash account is \$26,800. The total of the entries on the right side is \$14,200. The balance of this account _____.
 - A. is \$41,000 and would be recorded on the credit side of the account
 - B. is \$41,000 and would be recorded on the debit side of the account
 - C. is \$12,600 and would be recorded on the credit side of the account
 - D. is \$12,600 and would be recorded on the debit side of the account

34. The account used to record increases in owner's equity from the sale of services is _____.
A. the revenue account
B. the cash account
C. an expense account
D. the owner's equity account
35. When a credit is posted to the accounts payable ledger, the _____.
A. source document number and page number of the journal are written in the Post. Ref. column of the account
B. previous balance is added to the new amount posted in the credit column
C. credit amount is written in the debit column of the account
D. word Balance is written in the Item column
36. The total of all customer account balances in the accounts receivable ledger equals _____.
A. the balance in the accounts receivable controlling account
B. the balance in the accounts payable controlling account
C. the cash account
D. none of these
37. The journal that should be posted *first* is _____.
A. the sales journal
B. the purchases journal
C. general journal
D. the cash payments journal
38. Social security tax is calculated on _____.
A. total earnings and marital status
B. number of withholding allowances
C. total earnings and number of withholding allowances
D. employee earnings up to a maximum paid in a calendar year
39. The closing entry for the income summary account with a net income includes the following:
A. debit Capital, credit Income Summary
B. debit Drawing, credit Capital
C. debit Income Summary, credit Capital
D. debit Capital, credit Drawing
40. After all closing entries are posted, which of the following accounts will have a balance?
A. Miscellaneous Expense
B. Fees Income
C. Office Equipment
D. Drawing

SHORT ANSWER PROBLEMS (32 Total Points)

1. Complete the table below calculating Regular, OT, and Total Earnings for each employee.
Overtime is paid at time and a half. (1 point each)

Employee Number	Hours Worked		Regular Rate	Earnings		Total Earnings
	Regular	Overtime		Regular	Overtime	
15	80	8	\$14.00			
19	80	3	13.00			
22	76	6	15.00			
28	80	2	14.00			

2. End of the year balances for Jenison Industrials, Inc. are shown below:

Cash - \$27,600
Accounts Receivable - \$12,400
Allowance for Uncollectible Accounts - \$750
Supplies - \$1,200
Merchandise Inventory - \$136,500
Equipment - \$95,000
Accumulated Depreciation - Equipment - \$2,500
Accounts Payable - \$51,400
Capital Stock - \$80,000
Beginning Retained Earnings - \$105,300
Dividends - \$10,000
Net Income for the year - \$42,750

Find the following **(2 points each)**:

- a. Total Assets _____
- b. Working Capital _____
- c. Current Ratio _____
- d. Ending Retained Earnings _____
- e. Total Liabilities & Stockholders' Equity _____

3. On March 3, Deal Furniture purchases merchandise on account with a list price of \$27,400, and is given a trade discount of 60%. Terms of the sale are 2/10, n/30. How much would Deal pay if the invoice is paid on the following dates (2 points each):

a. March 12 _____

b. March 15 _____

4. Milliken, Inc. shows the following information on its Statement of Stockholders' Equity for 2020:

Capital Stock, \$5 par value – Jan. 1 balance, 10,000 shares; additional shares issued - 500

Retained Earnings – Jan. 1 balance, \$87,400

Dividends Declared - \$2,000 per quarter

Net Income for 2020 - \$46,200

Find the following balances that would be shown on the Statement of Stockholders' Equity (2 points each):

a. December 31 Capital Stock Balance _____

b. December 31 Retained Earnings Balance _____

c. December 31 Total Stockholders' Equity _____

PROBLEM 1 - SPECIAL JOURNALS

Analyze the transactions on the following page for Prestige Paints into their debit and credit parts using the account numbers below. Some transactions might have multiple debits and credits. All must be shown to be correct. Identify which special journal the transaction would most appropriately be recorded in using the codes provided. **One point** for each correct journal, debit, and credit.

Special Journals

P	=	Purchases Journal
S	=	Sales Journal
CP	=	Cash Payments Journal
CR	=	Cash Receipts Journal
G	=	General Journal

Chart of Accounts

110 Cash
115 Petty Cash
120 Accounts Receivable/Stellar Corp.
130 Accounts Receivable/Winterset Co.
140 Allowance for Uncollectible Accounts
150 Supplies
160 Prepaid Insurance
210 Accounts Payable/Becker Supplies
220 Accounts Payable/Randall Inc.
230 Dividends Payable
240 Sales Tax Payable
310 Capital Stock - Common
320 Retained Earnings
325 Dividends
330 Income Summary
410 Sales
420 Sales Discounts
430 Sales Returns & Allowances
510 Purchases
520 Purchases Discounts
530 Purchases Returns & Allowances
610 Advertising Expense
620 Miscellaneous Expense
630 Rent Expense
640 Utilities Expense

PROBLEM 1 - SPECIAL JOURNALS (75 Points Total)

		Journal	Debit	Credit
1.	Paid ABC Insurance in advance for insurance.	_____	_____	_____
2.	Sent a check to Bixby Realty for monthly rent.	_____	_____	_____
3.	Bought supplies from Becker Supplies. Paid half now, other half due in 30 days.	_____	_____	_____
4.	Sold merchandise for cash.	_____	_____	_____
5.	Purchased merchandise on account from Randall Inc. Terms of sale are 2/10, n/30.	_____	_____	_____
6.	Wrote a check to establish the Petty Cash Fund.	_____	_____	_____
7.	Sold merchandise to Stellar Corp. They wrote a check for the entire amount.	_____	_____	_____
8.	Some merchandise received from Randall Inc. was damaged. Company granted us an allowance.	_____	_____	_____
9.	Paid Randall Inc. for amount owed, less discount for early payment.	_____	_____	_____
10.	Sold merchandise on account to Stellar Corp. Terms of sale are 2/10, n/30.	_____	_____	_____
11.	Paid cash for advertising.	_____	_____	_____
12.	Paid cash for delivery fee.	_____	_____	_____
13.	Dennis Jones withdrew cash for personal use.	_____	_____	_____
14.	Granted credit to Stellar Corp. for merchandise returned.	_____	_____	_____
15.	Received payment from Stellar Corp. for amount owed less discount for early payment.	_____	_____	_____
16.	Wrote a check to replenish the Petty Cash fund back to the full amount. Payments included Supplies, Advertising Expense, Misc. Expense.	_____	_____	_____
17.	Performed services for Stellar Corp. for cash.	_____	_____	_____
18.	Paid monthly utility bill.	_____	_____	_____
19.	Bought supplies for cash.	_____	_____	_____
20.	Received partial payment from Winterset Co. from bankruptcy settlement.	_____	_____	_____
21.	Wrote off the remaining accounts receivable balance of Winterset Co.	_____	_____	_____
22.	The board of directors declared a dividend of \$.60 per share.	_____	_____	_____
23.	Paid cash to LTC Supply for merchandise, less a trade discount.	_____	_____	_____
24.	Sold merchandise on account to Winterset Co., plus sales tax.	_____	_____	_____
25.	Paid cash for a dividend declared.	_____	_____	_____

PROBLEM 2 - JOURNALIZING PAYROLL TRANSACTIONS (37 Points Total)

Selected payroll transactions for Peters Corporation follow. Payroll tax rates are as follows: social security tax, 6.2%; Medicare tax, 1.45%; federal unemployment tax, 0.8%; state unemployment tax, 5.4%. No total earnings have exceeded the tax base for calculating unemployment taxes.

Directions: *Journalize the following transactions using the general journal and cash payments journal shown below.*

Transactions:

- April 15 Paid cash for liability for employee income tax, \$693.00; social security tax, \$770.04; Medicare tax, \$180.09; total, \$1,643.13.
- April 15 Paid cash for semimonthly payroll; total payroll, \$3,066.00, less employee income tax, \$182.00, social security tax, and Medicare tax.
- April 15 Recorded employer payroll tax expense for semimonthly pay period ended April 15.
- April 30 Paid cash for federal unemployment tax liability for quarter ended March 31, \$149.04.
- April 30 Paid cash for state unemployment tax liability for quarter ended March 31, \$1,006.02.

General Journal				
Date	Account Title	Debit	Credit	

Cash Payments Journal						
Date	Account Title	General Debit	General Credit	Accounts Payable Debit	Purchases Discount Credit	Cash Credit

